TATA MOTORS LIMITED

Q1 FY26 Results Strategic Analysis

Quarter ending June 30, 2025 | Press Release: August 8, 2025

01 PROBLEM STATEMENT

Multi-Front Profitability Crisis

Tata Motors faces simultaneous revenue and margin compression across all three major business units in Q1 FY26, driven by distinct but compounding forces:

JLR — Primary Earner

27.5% US trade tariffs + planned Jaguar legacy wind-down drove EBIT down 490 bps to 4.0%

Tata PV — India Passenger Vehicles

Demand softness + model transition gaps (Altroz, Harrier, Safari) pushed EBIT to -2.8%

Tata CV — India Commercial Vehicles

Domestic volumes fell 9% YoY; exports up 68% but insufficient to offset the domestic decline

Group Free Cash Flow

Auto FCF at -Rs.12.3K Cr driven by adverse working capital; net auto debt rises to Rs.13.5K Cr

Strategic Bandwidth

Iveco acquisition (EUR 3.8b, H1 2026 close) and CV demerger (Oct 2025) compete for management focus

Core Question

How should Tata Motors allocate capital, protect margins, and sustain momentum through a demerger, tariff shocks, and the Iveco close?

02 STAKEHOLDER MAP

Interests & Stakes

PRIMARY	SECONDARY	TERTIARY
Shareholders & Investors Margin recovery, demerger value unlock, JLR FY26 guidance (5-7% EBIT)	**UK & EU Governments** Protect manufacturing jobs; UK-US & EU-US trade deals reduce JLR tariffs	**EV Ecosystem** Charging infra, lifetime HV battery warranty, supply chain stability
JLR Management (Mardell) Reimagine Strategy execution, tariff mitigation, EV transition	**CV Customers / Fleet Ops** Affordable vehicles; delayed fleet replacement reflects own constraints	**NCLT / Regulators** Demerger compliance; Iveco clearances across jurisdictions
Group CFO (Balaji) PBT recovery, debt reduction, demerger by Oct 2025	**Iveco Stakeholders** Fair EUR 3.8b valuation, integration certainty, job retention	**RR Electric Waitlist** 65,000+ customers expecting delivery — critical EV revenue ramp

03 QUANTITATIVE ANALYSIS

Key Numbers at a Glance

Consolidated Revenue	Consolidated EBITDA	PBT (bei)	Auto Free Cash Flow
Rs.104.4K Cr	**9.2%**	**Rs.5,617 Cr**	**-Rs.12.3K Cr**
Down 2.5% YoY	Down 480 bps	Down Rs.3,232 Cr	Down Rs.13.0K Cr

Segment	Revenue	Chg	EBITDA%	EBIT%	Key Driver
JLR	GBP 6.6b	-9.2%	9.3%	4.0%	US tariffs + Jaguar wind-down
Tata CV	Rs.17.0K Cr	-4.7%	12.2%	9.7%	Better realisations, cost saves
Tata PV	Rs.10.9K Cr	-8.2%	4.0%	-2.8%	Demand softness + transitions
Consolidated	Rs.104.4K Cr	-2.5%	9.2%	4.3%	Finance cost -Rs.533 Cr offset

Additional Data Points

JLR PBT: GBP 351m vs GBP 693m prior year — down 49.4% YoY

Finance Costs: Down Rs.533 Cr to Rs.938 Cr — key profitability offset

JLR Liquidity: GBP 5.0b total (GBP 3.3b cash + GBP 1.7b undrawn RCF)

Tariff Relief: UK-US: 27.5% to 10% (effective). EU-US: 27.5% to 15% (pending)

EV Position: India EV market share 36.7%; RR Electric waitlist 65,000+

04 STRATEGIC OPTIONS

Three Paths Forward

OPTION A

Defensive Consolidation

Pause Iveco integration, cut JLR capex, prioritize FCF and debt reduction. Focus on India profitability first.

PROS

- Stabilizes balance sheet quickly
- Reduces execution risk at demerger
- Near-term investor confidence

CONS

- Signals strategic retreat
- Misses EV first-mover window
- Iveco synergies lost or delayed

OPTION B — RECOMMENDED

Selective Offense: Protect Core, Accelerate EV

Ringfence JLR EV capex, leverage UK-US tariff relief, defend India EV leadership where Tata holds 36.7% share.

PROS

- Leverages 65K RR Electric waitlist
- UK-US deal = near-term tailwind
- India EV moat is defensible
- Maintains 5-7% EBIT guidance

CONS

- Requires strict capex discipline
- Iveco complexity persists

OPTION C

Aggressive Expansion

Accelerate Iveco close, ramp JLR US localisation for permanent tariff hedge, expand India PV launches.

PROS

- Long-term tariff immunity
- Counter-cyclical share gains
- Iveco creates global CV champion

CONS

- Severe FCF strain
- Debt rises at worst timing
- Execution bandwidth stretched

05 RECOMMENDATION

Option B — Selective Offense

Pursue Option B: Ringfence JLR EV capex, leverage UK-US tariff relief, and defend India EV leadership.

Rationale: The profitability decline is tariff- and volume-driven — not structural — and thus recoverable.

- Finance cost reduction of -Rs.533 Cr proves balance sheet optimisation is already working as an offset.
- The UK-US deal (27.5% to 10%) is the single biggest H2 FY26 catalyst — JLR guidance of 5-7% EBIT remains intact.
- India EV dominance at 36.7% market share with record July EV sales is a defensible moat that must be protected.
- 65,000+ RR Electric waitlist provides firm demand visibility for JLR's EV revenue ramp.
- Demerger unlocks independent CV valuation; don't let Iveco complexity distract from clean execution.

Priority Actions

Immediate — Q2 FY26

- Ringfence RR Electric and new Jaguar programme capex within JLR budget
- Activate festive-season demand campaigns for India PV (Harrier.ev, Altroz)
- File Iveco regulatory clearance documentation across required jurisdictions

Medium-term — H2 FY26

- Rebuild JLR EBIT toward 5-7% guidance using UK-US tariff tailwind
- Complete CV demerger by October 1, 2025 Effective Date
- Drive structural cost reduction in PV to return EBIT to positive territory

06 RISK REGISTER

Key Risks & Mitigations

HIGH **Tariff Reversal**

Risk: *UK-US and EU-US deals are political — renegotiation re-exposes* JLR to 27.5% tariffs.

Mitigation: Accelerate JLR US localisation roadmap to create a structural hedge.

HIGH **FCF Squeeze + Iveco Financing**

Risk: *Auto FCF at -Rs.12.3K Cr and EUR 3.8b Iveco deal creates a dual* cash drain.

Mitigation: Phased financing, asset monetisation; prioritise FCF recovery before Iveco close.

MEDIUM **Demerger Execution**

Risk: *NCLT order reserved; Oct 2025 Effective Date is tight. Delay* disrupts CV narrative.

Mitigation: Dedicated legal task force; contingency date planning with NCLT.

MEDIUM **India PV Demand Softness**

Risk: *PV EBIT at -2.8%; recovery depends on Harrier.ev and Altroz* landing strongly in H2.

Mitigation: Controlled inventory; avoid discounting; leverage EV momentum into H2.

MEDIUM **JLR FX Headwinds**

Risk: *GBP/USD volatility materially affects the GBP 6.6b revenue base.*

Mitigation: Natural hedge via US sourcing; explore treasury hedging instruments.

LOW **EV Demand Slowdown**

Risk: *India EV penetration stable at 13%; July was record EV month. RR* Electric 65K waitlist.

Mitigation: Risk is low; maintain battery warranty initiatives and charging infra spend.

SUMMARY

One-Page Takeaways

Problem	All three business units face revenue and margin decline. JLR tariff shock is the primary driver; PV and CV face domestic demand softness.
Stakeholders	Shareholders, JLR management, and the Group CFO are primary. UK/EU governments are now material secondary actors via trade deal outcomes.
Quant Signal	EBITDA down 35.8%, FCF -Rs.12.3K Cr. Key offset: Finance costs -Rs.533 Cr and JLR liquidity of GBP 5.0b provide balance sheet resilience.
Options	Defensive (A): safe but retreats. Selective Offense (B): balanced and executable. Aggressive (C): too much execution risk on current FCF base.
Recommendation	Option B. Ringfence JLR EV capex, leverage UK-US tariff relief for H2 recovery, defend 36.7% India EV share, execute demerger cleanly by Oct 2025.
Top Risk	Tariff reversal and dual cash drain (FCF + Iveco EUR 3.8b). Mitigate via US localisation roadmap and phased Iveco financing structure.

Source: Tata Motors Q1 FY26 press release, August 8, 2025. Framework: Problem > Stakeholders > Options > Analysis > Recommendation > Risks.